

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

HUNGARY 2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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1. Overview of the tax-benefit system

Unemployment insurance is compulsory for every insured employees, private entrepreneurs and business partners specified in Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (hereinafter: SSE), except pensioners entitled to draw pensions on their own right (and further persons specialised in SSE). Unemployment benefit is paid for a maximum of 90 days.

Social assistance is the ultimate financial aid available. Non means-tested family and child-care benefits are available for parents raising a child. In addition, specific means-tested child-care benefits may be claimed as well. Benefit supporting the costs of home maintenance can be provided by the local government upon the decision of the representative council (képviselő-testület).

The tax unit is the individual.

1.1. Average Worker wage (AW)

The AW value for 2016 is HUF 3 312 081 (Secretariat estimate).

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2. Unemployment insurance

Applicable statutory basis: Act IV of 1991 on Job Assistance and Unemployment Benefits.

Basic principles: Based on principles of social insurance, financed by employers' and employees' labour market contributions and central state budget subsidies, providing earnings-related benefits to employees.

Field of application: All insured employees and private entrepreneurs business partners specialised in SSE except employed pensioners entitled to draw pensions on their own right and further persons specialised in SSE.

The National Employment Service is the administrative body of the employment system. It consists of the Ministry for National Economy, the county government offices and the micro-region government offices of the county government offices.

Program name in local language		Álláskeresői járadék
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 360 days in previous 3 years
Waiting period (days)		0
Maximum duration (months)		90 days
Upgrading mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	60%
	benefit at the end of legal entitlement period in % of calculation base	60%
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	No, suspension of benefit for short-term employment (<120 days) and seasonal employment
Benefit provision (eligibility (E), generosity (G)) varies with	age	n.a.
	family situation	n.a.
	contract type	n.a.
	other	n.a.

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2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

The person is eligible for job-seekers benefit if fulfils the following criteria:

- is as job-seeker registered at the PES;
- co-operates with the PES;
- wishes to find employment, but his efforts to find a job have not succeeded and the PES is unable to offer suitable employment;
- does not carry out gainful activity (as employee or entrepreneur); is not entitled for old-age pension, rehabilitation annuity or benefits for persons with changed working capacity, does not pursue studies as a full-time student.

2.1.2 Contribution conditions

Qualifying period: payment of contributions for at least 360 days during the previous 3 years qualifies for jobs-seekers' benefit. The job-seeker is granted job-seeker benefit for 90 days. (It is worth to say, that a tax-paying period can be taken into respect only once).

The labour market contribution paid by the employee is 1.5 per cent of his/her base for social security contributions. (Employers and insured private entrepreneurs pay social contribution tax, of which from the 1st of January 2016 79,43% is transferred to the Pension Insurance Fund and 20,57% is transferred to the Health Insurance Fund and from the 1st of July 2016 74,3% is transferred to the Pension Insurance Fund, 20,53% is transferred to the Health Insurance Fund and 5,17% is transferred to the National Employment Fund). In 2017 the revenue from this tax is divided between the Pension Insurance Fund (71,61%), the Health Insurance Fund (20,50%) and the National Employment Fund (7,89%).

2.2 Calculation of benefit amount

2.2.1 Calculation of the base of job-seeker benefit

The amount of job-seekers' benefits shall be calculated on the basis of the average monthly sum comprising the labour market contribution base that the job-seeker has earned during the four calendar quarters before the time when the application for job-seekers' benefit was submitted. If the application for job-seekers' benefit is handed in later than the time when the job seeker was registered, the amount of job-seekers' benefits shall be calculated on the basis of the average monthly sum comprising the labour market contribution base that the job-seeker has earned during the four calendar quarters prior to becoming a job-seeker. In the process of calculating the average monthly sum, the amount of the contribution base earned during this period shall be divided by the number of months during which the job-seeker had any income comprising part of the contribution base. If the contribution base of a job-seeker for a given month does not cover the entire month, it shall be taken into consideration as a fraction of a month for the purposes of calculating the average monthly sum.

The amount of job-seeker benefit shall be 60 % of the base of job-seeker benefit, whereas its upper limit shall be 100% of the amount of the minimum wage on the first day of eligibility for job seeker benefit (111 000 HUF/month).

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2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Those claiming job-seeker benefits may not pursue any gainful activity. The only two exceptions are short term employment for up to 120 days and occasional employment and seasonal employment. During the time of short term employment, the benefit ceases to be payable (must be suspended). Payment of job-seeker benefits shall be discontinued if the job-seeker is engaged in short-term gainful activities, not to exceed 120 days provided the notification obligation (to the PES) was satisfied.

2.3 *Tax treatment of benefit and interaction with other benefits*

Job-seeker benefits are subject to the full range of income taxation. The pension insurance contribution is 10 %, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to health contribution (and therefore the claimant will not receive in-kind benefits e.g. sick pay for disease during the benefit period).

2.4 *Benefit duration and waiting periods*

One day of job-seeker benefit is paid for every 10 days of insurance contribution period, up to a maximum of 90 days.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No specific rules for young persons.

2.5.2 *Older workers*

Older job-seekers are entitled to pre-pension job-seekers' allowance as presented under session 3.

2.5.3 *Others if applicable, including disabled*

Entrepreneurial benefits were cancelled from the 1 of January 2010. From this date the provisions for job-seeker benefit refer to entrepreneurs as well.

3. Unemployment assistance

The pre-pension job-seekers' allowance based on Act IV of 1991 on Job Assistance and Unemployment Benefits.

3.1 Conditions for receipt

3.1.1 Employment conditions

Those job-seekers are eligible for the pre-pension job-seekers' allowance who

- meet the requirements of the job-seekers' benefit (as detailed in 2.1.1);
- received job-seekers' benefit for at least 45 days and the period of payment of benefit comes to an end, or their job-seekers' benefit was terminated due to employment and they are not entitled again to job-seeker benefit,
- shall reach retirement age in not more than 5 years, or within 3 years after the termination of the job-seeker benefit,
- is not receiving benefit prior to retirement age, service benefit for armed forces, life annuity for ballet artists, or transitional annuity for miners,
- has a sufficient contribution period for retirement (normally 15 years);
- fulfils the mandatory retirement age within 5 years.

3.1.2 Contribution conditions

See under 2.1.1.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The benefit is 40% of the minimum wage. Job-seekers' allowance shall be provided until the job-seeker gains eligibility for old-age pension or for benefits for persons with changed working capacity.

3.2.1.1 Irregular additional payments

Not relevant.

3.2.1.2 Obligations of family members

Not relevant.

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Pre-pension job-seekers' allowance is suspended for the period during which the recipient performs a wage-earning activity (regardless its length).

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3.3 *Tax treatment of benefit and interaction with other benefits*

Pre-pension job-seekers' allowance is not subject to taxation. 10% pension contribution is deducted from the pre-pension job-seekers' allowance

3.4 *Benefit duration and waiting periods*

Pre-pension job-seekers' allowance shall be provided until the job-seeker gains eligibility for old-age pension or for benefits for persons with changed working capacity

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

Not relevant.

3.5.2 *Older workers*

Not relevant. (The Pre-pension job-seekers' allowance is specialised for older workers)

3.5.3 *Others if applicable, including disabled*

Not relevant.

4. Social assistance

Program name in local language		Foglalkoztatást helyettesítő támogatás
Minimum age condition for social assistance receipt		18
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Yes
	Active job search(2)	Yes
	Work requirement(2)	Yes
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Up-rating mechanism of the benefit		Depend on the minimum old-age pension, which is usually revised yearly, competency of government; no revision in 2015
Other supplements to basic benefit (per family)		No
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	100%: the benefit is suspended if the person pursues a gainful activity (except for casual work). The suspension may last until the 120th day of the gainful activity. On the 121th day the benefit is ceased.
	Assets included in means test?	Yes
	Other benefits included in the means test	All other except special types of income defined by the Social Act e.g. extraordinary benefits, benefits for housing and medical purposes, benefits of health impaired persons.
Benefit provision (eligibility (E), generosity (G)) varies with	age	n.a.
	family situation	G: 0, flat-rate benefit regardless of family size
	over time	n.a.
	other	n.a.

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Benefit for people in active age:

It is provided within the social assistance scheme in order to ensure a minimum standard of living for those, who are not employed (except of those in public employment, simplified employment or carrying out household work), and who are in active age (18 – retirement age). The eligibility is depending on the income of the family. The benefit for persons in active age has no time limit.

There are two groups of persons entitled to benefit for persons in active age:

- a) Persons capable of performing work are entitled to **employment substituting support (ESS, “foglalkoztatást helyettesítő támogatás”)**. Persons who belong to this scope are obliged to cooperate with the Public Employment Service and to take part in public work. For the period of public work, wage is paid (at least the minimum wage of the public work). The employment substituting support is paid, when the person is not involved into public work or training. The entitlement to the benefit is terminated in case the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training programme or in a labour market programme for at least 30 days. When social assistance is included in the modelling, the person is assumed to remain entitled to the benefit throughout their unemployment spell.
- b) Persons incapable of performing work are entitled to **benefit for people suffering from health problems or taking care of a child (BHTC, “egészségkárosodási és gyermekfelügyeleti támogatás”)**. Persons eligible are the health impaired, as well as persons who bring up a child under 14, and the attendance of the child at an institution providing daily care is not ensured. The calculation of benefit for people suffering from health problems or taking care of a child is determined on the grounds of the composition and income of the family.

4.1 Conditions for receipt

Those entitled to benefit for persons in active age are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %, or whose state of health is assessed by the complex assessment of the rehabilitation authority at 50% or less), or are in receipt of personal allowance of the blind or of disability benefit.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the public employment service is needed)

and having no alternative source of living.

A person does not have alternative source of living, if the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension (applies to both, ESS and BHTC). The definition of consumption unit: see 4.2.1

Only one person in a family can be eligible to the benefit for persons in active age, except for the case when two claimants are entitled to different cash benefits (one person is entitled to ESS (*foglalkoztatást helyettesítő támogatás*), the other to BHTC (*egészségkárosodási és gyermekfelügyeleti támogatás*)). Given the small proportion of the eligible population who receive BHTC, the modelling focuses on ESS, and so only one member of the family is eligible for social assistance.

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Persons who are entitled to ESS are obliged to cooperate with the Public Employment Service and to take part in public work.

The benefit can be received at the same time with other social benefits or incomes.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The **monthly amount of the employment substituting support (ESS)** is a fixed lump-sum payment equal to 80 % of the minimum old-age pension (22 800 HUF). The sum is independent of the family composition and paid as long as the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension for the period of work wage is paid (at least the minimum wage of the public work, the gross amount of which is 79 155 HUF).

The **benefit for people suffering from health problems or taking care of a child (BHTC)**, which is not considered in the tax-benefit model) is calculated with the help of "consumption unit", which shows the structure of the family. Instead of a fixed amount, the benefit depends on the income of the family. The income of the family is supplemented to 92 % of the minimum old-age pension per consumption unit.

The BHTC is calculated as follows:

$SA = (0.92 * \text{minimum old age pension} * \text{consumption unit}) - \text{household income}$

The **consumption unit** is as follows:

- The first adult: 1.0 (+ 0.2, if he/she is a single parent)
- Spouse or partner: 0.9
- First and second child: 0.8
- Third and other children: 0.7
- Disabled child: 1.0 (if there are disabled and healthy children, the first healthy child counts 0.8).

If the first adult or the spouse (partner) is receiving disability benefit, they count 1.0+0.2, or 0.9+0.2

The amount of the BHTC is limited: the maximum amount is the 90 % of the net minimum wage of the public work, 47 374 HUF in 2016. In case in one family two types of cash benefits (BHTC and ESS) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage.

As for the eligibility in the family to the benefit for people in active age, please see point 4.1.

4.2.1.1 Irregular additional payments

The benefit claimant may receive another supports [e.g. local benefit (települési támogatás), public health care card system (közgyógyellátás)] if he/she complies with the conditions of the measure.

4.2.1.2 Obligations of family members

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4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Various benefits and allowances for persons suffering from serious health damage, such as personal allowance of the blind or disability benefit etc. do not count as income. Benefit recipients are allowed to perform temporary work (casual work), but the income is calculated in the benefit amount.

In the **household income** special types of income defined by the Social Act e.g. extraordinary benefits, benefits for housing and medical purposes are not included.

4.3 ***Tax treatment of benefit and interaction with other benefits***

Not subject to taxation

4.4 ***Benefit duration and waiting periods***

No time limit. It depends only on the way of discontinuing

The unemployed person's social assistance can be re-applied within 36 months from expiring, without fulfilling the preliminary collaboration obligation (if the other entitlement conditions are existing).

4.5 ***Treatment of particular group***

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

Those people, who have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %, or whose state of health is assessed by the complex assessment of the rehabilitation authority at 50% or less), or are in receipt of blind persons' annuity or of disability benefit are entitled to benefit for people in active age regardless of previous cooperation with the public employment service.

5. **Housing support**

Benefit supporting **the costs of home maintenance** can be provided by the local government upon the decision of the representative council (képviselő-testület):

Hungary has to face with the challenges of population ageing, which is likely to have serious macroeconomic consequences in the long run. To manage issues related to ageing population, the **Family Housing Subsidy** (CSOK) Programme is an adequate measure, as the CSOK is not only a lump sum subsidy, but a demographic focused programme as well. In general, Hungarian couples would like to bring up 2-3 children, however, due to different obstacles their plan fails in many cases. Regarding Family Housing Subsidy, Government's purpose is that the housing issue does not be such a big obstacle for the couples in the future.

Family Housing Subsidy is a non-refundable subsidy for purchasing a residential dwelling or building or buying a family house or for enlarging the flat-area of the owned family house. Until 1st January 2016 the subsidy was determined by the number of children, the energy class of the dwelling and the flat-area of the dwelling. The amount of the subsidy could vary between 0,5 and 3,25 million HUF.

From 1st January 2016 families with children (or married couples who contract to expand their families with children) are eligible for non-refundable subsidies for buying or building a home or for expanding an existing family-house – the amount depends on the number of children and the type of housing (new or used). In case of three or more children and buying a new home the financial support is HUF 10 million. Families with two children are eligible to receive up to HUF 2.6 million; and families with one child up to HUF 600 thousand. For used homes: HUF 2.75 million for a family with four children; HUF 2.2 million for a family with three children; HUF 1.43 million for a family with two; and HUF 600 thousand for a family with one child. Those, who have at least three children, will also be eligible for an additional HUF 10 million loan at a preferential interest rate of 3%.

6. Family benefits

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits, besides newly married couples are entitled to tax allowance. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- family tax base allowance
- regular child protection allowance
- family tax allowance for first marriages

Families in need are entitled to regular child protection allowance

Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments.¹

Program name (local name in parentheses if available)		Family allowance (Családi pótlék)	Family tax base allowance (családi szja és járulékdvezmény)	Subsidized meals through child protection allowance	Supplement to Family allowance (Családi pótlék)	Family tax allowance for first marriage (első házasság kedvezménye)
Type of benefit		Universal	Universal	Targeted	Universal	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	18 (23)	18 (23)	18 (23)	18 (23)	-
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No	No	No	No	It shall be the first marriage for at least one of the parties.
Upgrading mechanism of the benefit		Annual, based on the Annual Act on State budget	The allowance in the case of two children will be doubled from	Annual, based on the Annual Act on State budget	Annual, based on the Annual Act on State budget	No upgrading

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				2016 until 2019. Otherwise no uprating.			
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0	0	0	0
		Number of children	+++ for second, third, then ++	+++ for second then +++ for third child, then ++	++	+++ for second, third, then ++	0
	Earnings disregard		n.a.	n.a.	HUF 446000	n.a.	n.a.
	Withdrawal rate		n.a.	n.a.	Fully withdrawn as soon as income exceeds threshold	n.a.	n.a.
	Assets part of means test?		No	No	No	No	No

6.1 Conditions for receipt

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth up to compulsory schooling age as child raising benefit (nevelési ellátás) and from schooling age until the termination of studies in compulsory education system (usually 0-18 years), then for secondary school education or vocational training, up to 20 years of age, or 23 years in case of special educational needs as schooling benefit.

The family tax base allowances reduce the tax base of parents raising child(ren) and the tax allowance for first marriages reduces the tax base of the newly married couples.

Families in need are entitled to regular child protection allowance.

She/he is entitled to regular child protection allowance if the per capita monthly income in the family looking after the child does not exceed 140% (in 2016: 39 900 HUF) of the prevailing lowest amount of old-age pension, in case of single-parent families, or the child is permanently ill or seriously disabled, or if the child is more than 18 years old and attending to secondary or higher education, in any other case if the

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per capita monthly income in the family looking after the child does not exceed 130% (in 2016: 37 050 HUF) of the prevailing lowest amount of old-age pension.

(The aim of determining such an entitlement is to justify that the child according to his social conditions is entitled to get the normative allowance of daily meals, free of charge textbooks and other support).

Local assistance is paid for families with temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowance: (the amounts remain same as in 2008)

- for one-child family: 12 200 HUF,
- for one-child, single-parent family: 13 700 HUF,
- for two-children family: 13 300 HUF per child,
- for two-children, single parent family: 14 800 HUF per child,
- for families with three or more children: 16 000 HUF per child,
- for single parent families with 3 or more children: 17 000 HUF per child,
- for families with severely ill or disabled child: 23 300 HUF per child,
- for single parent families with severely ill or disabled child: 25 900 HUF per child,
- in case the child concerned is in foster home: 14 800 HUF
- in the case of full aged disabled child: 20 300 HUF

The **family tax base allowance** reduces the personal income tax base of parents raising child(ren). The gross monthly amount of the deduction is 66 670 HUF per child in case of one child, 83 330 HUF per month per child in case of two children and 220 000 HUF per child in case of three or more children. In net terms it means 10 000 HUF per child for families with one child, 12 500 HUF per month per child for families with two children and 33 000 HUF per month per child for families with three or more children. The allowance can be claimed by either of the parents, or can be split between the parents. From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.

The tax base allowance for first marriages reduces the personal income tax base of the newly married couple. The gross monthly amount of the deduction is 33 335 HUF per couple if it is the first marriage for at least one of the parties but until they become entitled to family tax allowance. In net terms it means 5 000 HUF per month for maximum 2 years. The allowance can be claimed by either of the couple, or can be split between the couple.

In the framework of **regular child protection allowance** a benefit in kind (voucher, in the value of 2 x 5 800 HUF, for the bearer who is a pensioner or entitled to old-age allowance, 2 x 8 400 HUF in 2016), subsidized meals for children and other kinds of support are provided. Each year the amount of the support will be established by the Parliament, in the act on the budget. Besides the regular child protection allowance, the bearer is entitled to a cash benefit of 6 270 HUF/month/child. It is connected to the child protection allowance (rendszeres gyermekvédelmi kedvezmény), former regular child protection support (rendszeres gyermekvédelmi támogatás). It is dedicated to a special target group: the bearers (or guardians), who receive a pension, a pension-like benefit, or old-age allowance. That means that parents are not eligible to this benefit. The eligible persons are usually the grandparents as guardians.

Local assistance: the amount is designated by decree of the respective local government.

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6.2.1.1 *Irregular additional payments*

There's no irregular additional payment.

6.2.2 *Income and earnings disregards*

See 6.1.

6.3 ***Tax treatment of benefit and interaction with other benefits***

Not subject to tax

6.4 ***Treatment of particular groups***

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits. (see 6.2.1.)

7. Childcare for pre-school children

Participation rates in kindergarten (school year 2016/2017):

• Under 3 years	12.2 %
• 3 years	83.8 %
• 4 years	95.1 %
• 5 years	95.4 %
• 6 years	61.1 %
• 7 years	3.6 %.

In numbers, it means 11 442 children under 3 years and 306 039 children between 3 and 7 years.

Early childhood education and care (ECEC)

The Hungarian government's priority is to increase the number of daycare places available for children under the age of 3 from the current 44,000 to 60,000 in the period from 2014 to 2018. For this purpose a significant amount of resource is available. According to the data of the Hungarian Central Statistical Office released on 1 January 2016, the total number of 0-2 years old was 274.996. The number of placements was 46 000, it means that 17% of the relevant age group can access to one type of ECEC service.

Forms of ECEC services (until 2016)

The Act XXXI of 1997 on the protection of children and the administration of guardianship (furthermore: Child Protection Act), and the Act CXC of 2011 on public education (furthermore: Public Education Act) are the relevant pieces of legislation for nurseries and kindergarten. Nurseries and kindergartens are both public centers, providing full time care and education. In nurseries parents have to pay for the meals (but meals for 70% of the children are free) and in some nurseries for the care.

The majority of the services are still provided directly by local authorities. Only about 5% of the existing nursery and kindergarten places for children are maintained by the non-governmental sector.

Licensed family daycare and home childcare were also included in the 1997 legislation as basic services. Family daycare is the form of childcare when someone cares for other people's children in her own home. Family daycares were developed to substitute nurseries and kindergartens in those settlements where centers cannot be maintained. Family daycare provider can look after a maximum of five children between the ages of 0-14. Parents have to pay for the services (daily meals and nursing).

According to the Hungarian Central Statistical Office data, there were 1 395 family daycare services in 2015, providing altogether 9 074 places in the country

7.1 Out-of-pocket childcare fees paid by parents

The Child Protection Act includes the rules for calculating parental fees for children's meals and the available normative support (discounts).

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At the centre-based institutes providing the day-time provisions for children the care is free of charge, families have to pay only for the meal. The average fee is approx. 8 000 - 10 000 Ft/person/month. The basis of the calculation: the cost of the daily raw material for one person. From 1st of January 2012 the maintainer has the opportunity to request parental fees for children's care in nurseries.

Under the current rules there are two groups based on the fee payable for the meals:

- those receiving free meals
- those paying full cost.

Free of charge meals are provided for children entitled to regular child protection allowance in nurseries, kindergartens, primary schools and day care services for disabled people. Free of charge meals are also provided for children receiving care and young adults receiving after-care in the child protection system from July 1st 2015.

In general in the nurseries families have to pay only for the daily meals, unless the operator of the nursery prescribes otherwise. Upon this scenario, the families have to pay for the daily meals and nursing too. In 2015 43% of the nurseries determined a fee for their nursing services, which meant an additional expenditure of HUF 5,800/month for the families' budget. However the families' expenditure is reduced by the extended free meal opportunity in nurseries which came into effect from 1 September 2015. In 2015 15% of the children, then in 2016 70% of the children were eligible for free meal in nurseries.

In nursery and kindergarten children eligible for free catering are:

- who are eligible for "regular child protection allowance",
- who are living in families with a monthly per capita income less than 130% of the minimum wage and are not eligible for "regular child protection allowance", and
- who are suffering from permanent disease or being disabled,
- healthy children living in families with a child suffering from permanent disease or being disabled,
- children living in families with 3 or more children,
- children living in child protection care.

All children attending nurseries (ECEC services for children under the age of 3) receive meals in the nursery. 70% of them receive free meals. 315.012 children received meals in kindergarten, among them 242.946 (77,1%) received it free of charge in school year 2016/2017.

As a specific item of the national central budget, free catering for children in need during summer break has been financed through tenders for the local governments since 2002. The amendment of the Child Protection Act applied in the 2016 spring break for the first time, made it obligatory for the local governments to ensure free catering for children in need during all school holidays (total of 70 days per year) and during the closing times of nurseries and kindergartens. In the spring break 95.686 children, in the summer break 140.228 children received free catering in 2016, based on parents' request.

The fees are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

The law on the national budget regulates the financing source of free or reduced cost meals and the amount of the normative support for this purpose.

7.2 *Child-care benefits*

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Infant care fee is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided after the period of infant care fee as long as the insurance period of the parent takes, but maximum to the age of 2 years of the child. Child care fee Extra benefit package was introduced on 1 January 2014. Its objective is to ensure that to have children should not exclude individuals from the labour market. Child care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years. The beneficiary can pursue a gainful activity up to 6 hours a day or without time restriction at home.

Regular child protection support dissolved into the family allowance, the families in need are entitled to **regular child protection allowance** (see section 6).

Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments (see section 6).¹

7.2.1 *Conditions for receipt*

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth).

Infant care fee is provided if the insured mother (or adopting mother, or in certain cases (e.g. the mother deceased) the father) was insured for at least 365 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave.

Conditions of the child care fee: the parent has to be insured, and needs at least 365 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child. Child care fee Extra benefit package: after the 6th months of age of the child, parents receiving child care benefits (child care fee or child care allowance) can pursue a gainful activity without time limit. Mothers who are not entitled to child care fee due to the lack of a gainful activity, but who have completed at least two active semesters in higher education are entitled to child care fee until the child reaches 1 year of age. Fathers are entitled to this form of child care fee if the mother dies or is not entitled to the benefit. The parent does not lose entitlement to child care benefit, even if during the eligibility period of the benefit a new child is born (applicable to children born after 31 December 2013). In this case, the parent is allowed to apply for benefit with regard to the new child, and is allowed to keep the former benefit, as well. In case of twins the eligibility period of child care fee is extended by a year. That means that child care fee can be granted up to the third birthday of the children.

Child care allowance: for parents who care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren older than one year in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Above 6 months of age of the child, the parent can work without time

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restriction (the child can be in a formal childcare centre without losing the allowance). The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 30 hours a week, or without time restriction at home.

Multiple child care benefits (infant care fee, child care fee, child care allowance) can be claimed in case of having more than one child within the eligibility period, provided that the youngest child in the family was born after 31 December 2013.

Child raising support: see 7.2.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Infant care fee: 70% of the daily average gross earnings of the previous year.

Child care fee: the amount of benefit is defined as 70% of the daily average gross earnings of the previous year, with a ceiling of 70 % of the double of the minimum wage (155 400 HUF in 2016).

Child care fee Extra - in case of mothers on student status: generally 70% of the minimum wage (77 700 HUF) or in the case of BA or PhD studies: 70% of the guaranteed wage minimum (90 300 HUF).

Child care allowance: the amount equals to the monthly minimum old age pension (in 2016: 28 500 HUF), irrespective of the number of children in the family. In case of multiple birth, the amount is multiplied according to the number of children. Parents can get the child care allowance for maximum 2 children at the same time, but twins count as one child in this respect.

Child raising support: the amount, irrespective to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

There are no disregards.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

1. Birth grant is not taxable income.
2. Infant care fee is disbursed on an insurance basis and is proportionate to earnings, and therefore counts as taxable income and interact with child care allowance and child care fee (claimed not for the same child). Taxes levied on entire income.
3. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child care allowance and infant care fee (claimed not for the same child). Pension contribution must be paid as the disbursement period is qualifying period for pension.
4. Child care allowance is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.
5. Child raising support is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.

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7.2.4 *Treatment of particular groups, including disabled*

See above.

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8. Employment-conditional benefits

None.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable, including disabled

Reference date for all information is **July 1st 2016**

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9. Lone-parent benefits

See 6.2.1.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

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11. Tax system

11.1 Income tax

11.1.1 Tax allowances and credits

11.1.1.1 Standard allowances

Family tax base allowance: For families having children, the basis of income tax can be reduced by the family tax allowance, which amounts to HUF 66 670 per month for each dependent child for families having one child, HUF 83 330 per month for each dependent child for families having two children and , HUF 220 000 per month for each dependent child (for families having at least three children). From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.¹ From 1st January 2015 for newly married couples (where it's the first marriage for at least one of the parties) the basis of income tax can be reduced, in 2016 by HUF 33 335 per month for one person of the couple for 24 months. According to a change newlywed (the wedding is after 31th December 2014) couples could be entitled to the family tax base allowance and the tax base allowance for the first marriage at the same time. The tax credits are wastable.

11.1.1.2 Standard tax credits

Personal Tax Credit of severely handicapped individuals: a person suffering from certain diseases, or who receives invalidity related benefits may deduct 5 per cent of the minimum wage (HUF 5 550) from the tax on the consolidated tax base every month. The tax credit is wastable.

Tax Base

The tax base shall comprise the income after deductions (costs, family tax allowance) made according to PIT Act.

11.1.2 State and local income taxes

In Hungary there is no local personal income tax system supplementing the central one. More precisely, until 2013 the total income tax collected was split between the central government and local governments. From 2013 the total income tax is part of the revenue of the state, due to the redistribution of local tasks between the local governments and the state. At the same time, the local governments can still levy taxes on sites and buildings, tourist facilities and business activities.

11.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately. However, the family tax allowance and the tax base allowance for first marriage can be split between spouses.

¹ This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

11.3 Social security contributions and payroll taxes

Public burden on gross incomes in 2016	
Paid by the employer	Paid by the employee
Social contribution tax: 27% Vocational contribution: 1,5%	Pension contribution 10%
	Health insurance and labour market contribution 8.5% = 4% in-kind health ins.contr. + 3% in cash health ins.contr. + 1.5% labour market contr.
	Personal income tax: 15 %

11.3.1 Contributions payable by employees and benefit recipients

Pensions

The employee's individual pension contribution is 10 %. The upper limit of the employees' contribution has been ceased from 1 Jan 2013.

From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the family tax base allowances.²

Sickness

The rate of health security contribution amounts to 7 per cent of gross earnings.

From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the family tax base allowances.³

² This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

³ This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

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Unemployment

The worker must pay, as employees' contribution, 1.5 per cent of gross earnings.

Note: Only earned income is liable to job-seeker benefit and sickness contributions. That is, workers pay 17.5 per cent and unemployed pay 10 %.

11.3.2 *Contributions payable by employers*

Pensions

Sickness

Unemployment

Instead of employers' pension insurance contribution, employers' health insurance contribution and labour market contribution, employers shall pay social contribution tax since 1 January 2012. The name and the legal nature have changed, the rate has remained 27% in 2016. From the 1st of January 2017 the rate of the employers' social contribution tax was cut by 5 percentage points to 22%. The Government decided to lower the social contribution tax an additional 2 percentage points in 2018. Another 0.5 percentage point decrease is possible in 2018 if gross wages increase by more than 11% in the private sector during the first nine months of 2017. That would be followed (between 2019-2022) by four more 2 percentage point tax rate decrease steps each year after real wages in the private sector has increased by 6 per cent.

The revenue from social contribution tax is divided among Pension Insurance Fund and Health Insurance Fund from 1st of July 2016 the revenue from social contribution tax is divided among Pension Insurance Fund; Health Insurance Fund and the National Employment Fund.

11.3.3 *Payroll taxes*

The training contribution amounts to 1.5 per cent of salaries paid.

11.4 *Treatment of particular group*

From 1st January 2013, the Job Protection Act (JPA) introduced new targeted reliefs in the employers' contributions (social contribution tax and training levy) to incentivise the employment of the most disadvantaged groups on the labour market. This measure reduces the standard rate of the employers' contributions up to a cap of HUF 100 000 per month.

11.4.1 *Young persons*

Up to a tax base of HUF 100 000 per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons younger than 25 years. If the employee below 25 years of age is also a career starter, the employer is exempted from all of these taxes up to HUF 100 000 in the first two years of employment.

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11.4.2 *Older workers*

Up to a tax base of HUF 100 000 per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons older than 55 years of age.

11.4.3 *Others if applicable*

Up to a tax base of HUF 100 000 per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of workers employed in unskilled positions.

Up to a tax base of HUF 100 000 per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 0% in the case of workers employees considered to be long-term unemployed (who have been registered as unemployed for over 6 months)⁴ and persons hired after having received child care fee or during or after the disbursement of child care allowance or child raising support. For this group, a 50% tax reduction applies to the third year as well (which translates into a tax rate of 14%). For families with three or more children the duration of the latter tax break is longer (100% reduction in the first three years and 50% reduction in the fourth and fifth year of employment).

From 2015 the tax reliefs for parents with small children have been widened under the Job Protection Act. In case of those employees, who are working part-time, from 2015 onwards, there will be no rule of proportion. This means that irrespective of the working time, in case of the employment of parents with small children the tax relief can be validated up until 100 thousand HUF gross monthly income,.

The tax allowances are available both in respect of newly hired and current employees, thus they act as incentives for job creation and job retention at the same time.

There are two measures providing tax incentives for **persons with disabilities**. One is to support the employment of person with disabilities with rehabilitation card and the other tax relief is for the disabled entrepreneur himself. After the employment of such persons the employers don't have to pay social contribution tax up to the income ceiling of double the minimum wage per month.

11.5. *Rehabilitation contribution*

Employers employing more than 25 persons on average must pay rehabilitation contribution if the proportion of persons with disabilities or with impaired health within their staff does not reach 5% (mandatory level). The level of the contribution is based on the number of workers with disabilities required to reach the mandatory level (HUF 964,500 per person per year). The contribution is payable quarterly on the basis of the average headcount of the given quarter.

⁴ Note: Since there is no assumption on the length of previous unemployment of a person in the TaxBen model, this variation has not been implemented.

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12. Part-time work

12.1 *Special benefit rules for part-time work*

12.2 *Special tax and social security contribution rules for part-time work*

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. With the revision, and afterwards the abolishment (as of 2009) of the fixed amount health care contribution, tax burden on employers is proportional to hours worked.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27 % social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

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13. Policy developments

13.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

Benefits for people with changed working capacity

From 1st January 2016, the amounts of the invalidity and rehabilitation benefits, as well as the disability benefit have been increased by 1.6%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

From 1st May 2016 the rules regarding accumulation with earnings from work changed in case of rehabilitation benefit. Before this date the rehabilitation benefit was suspended if the claimant worked for more than 20 hours per week. From 1st May 2016 the same rule applies to rehabilitation benefit than to invalidity benefit, i. e. the benefit is terminated if the claimant earns more than 150% of the minimum wage (HUF 166,500 per month) for three consecutive months.

From 1st of May 2016 the minimum and maximum amounts of rehabilitation and invalidity benefits are set to certain percentages of the basic amount defined by the Act CXCI of 2011 on benefits for persons with changed working capacity and amendments of certain acts (i.e. HUF 94,500 in 2016.) Before this date the minimum and maximum amounts were set to certain percentages of the minimum wage of 2012 (i. e. 93,000 HUF). The basic amount is increased yearly at the same rate as old age pensions increase.

Social assistance system:

From 1st March 2015 several changes were introduced in the social assistance system. The essence of the changes was to divide clearly the local governmental and state responsibilities in this field.

The benefits the provision of which was classified as a state responsibility are the following:

- benefit for people in active age
- old-age allowance
- nursing fee (except for the local form of nursing fee)
- public health care card system (except for the local form of public health care card system)
- certificate for health services.

The rules of following benefits were repealed from the Social Act. That means that the central regulation of these benefits ceased. Instead of these benefits the local governments have the authority to define the types and eligibility criteria of the benefits they provide:

- home maintenance support,
- local form of nursing fee,
- local form of public health care card system,
- debt management support.

The name of the support provided by local governments is uniformly ‘Local Benefit’. The local government is entitled to decide the forms, eligibility criteria and amount of the provisions provided in the frame of local benefit. The only obligation of the local authority is to provide extraordinary local benefit

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for those who are in exceptional life status that threatens their existence or struggling temporarily or permanently with troubles of existence.

The local governments who do not have enough resources for the tasks regarding social benefits are entitled to a support from the central budget.

Benefit for people in active age

From 1st March the **district office is the competent authority** regarding the benefit (instead of the head of the local administration).

The rules of **employment substituting benefit** have not changed.

The benefit provided for those incapable of performing work is the **benefit for people with health impairment or taking care of a child** (egészségkárosodási és gyermekfelügyeleti támogatás) from 1st March 2015.

The entitlement to benefit for persons in active age had to be revised until 28th February in case of those who received regular social benefit.

Those who were entitled to the regular social benefit because of:

- their health status or
- taking care of young children

became entitled automatically to **benefit for people with health impairment or taking care of a child**.

The amount of the new benefit is calculated in the same way as in the case of regular social benefit; the only difference is that the family income limit is 92% of the minimum old-age pension per consumption unit instead of 90%.

Those who are entitled to the regular social benefit because of:

- their age or
- who satisfies the entitlement conditions defined by the decree of municipality according to family, health and mental conditions

could become entitled to **employment substituting benefit**.

As from 1st January 2015 the gross public employment minimum wage amounts to 79 155 HUF. The amount has not changed in 2016. Since the maximum amount of the benefit for people suffering from health problems or taking care of a child is connected to the public employment minimum wage (90% of the net public employment minimum wage), and the personal income tax was reduced to 15%, the maximum amount of the benefit increased to 47 374 HUF (instead of 46 662 HUF in 2015).

Family benefits

Since 2015 for couples married for the first time, the basis of income tax can be reduced, in 2016 by 33 335 HUF per month for one person of the couple for a maximum of 24 months. According to a change in the law, newlywed (the wedding is after 31st December 2014) couples could be entitled to the family tax base allowance and the tax base allowance for first marriage at the same time.

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As of 1st January 2016, parents receiving child care fee or child care allowance can pursue a gainful activity without time restriction when the child reaches 6 months of age (previously it was possible after the 1st birthday of the child).

Free catering for children

From 1st September 2015, by the amendment of the Child Protection Act, approx. further 180.000 children in nursery and kindergarten became newly eligible for free catering:

- children who are living in families with a monthly per capita income less than 130% of the minimum wage and not eligible for “regular child protection allowance”, and
- healthy children living in families with a child suffering from permanent disease or being disabled.

Catering fee discount of 50% will increase to 100% which concerns further 54.000 children in nursery and kindergarten

- who are suffering from permanent disease or being disabled, or
- living in families with 3 or more children.

In the schoolyear 2015-2016 about 269.000 children were entitled to free catering in nurseries and kindergartens.

As a specific item of the national central budget, free catering for children in need during summer break has been financed through tenders for the local governments since 2002. The amendment of the Child Protection Act, applied in the 2016 spring break for the first time, made it obligatory for the local governments to ensure free catering for children in need during all school holidays (maximum total of 70 days per year) and during the closing times of nurseries and kindergartens. In the spring break 95.686 children, in the summer break 140.228 children received free catering in 2016, based on parents' request.

Housing support (Family housing subsidy)

From 1st January 2016 families with children (or married couples who contract to expand their families with children) are eligible for non-refundable subsidies for buying or building a home or for expanding an existing family-house – the amount depends on the number of children and the type of housing (new or used). In case of three or more children and buying a new home the financial support is HUF 10 million. Families with two children are eligible to receive up to HUF 2.6 million; and families with one child up to HUF 600 thousand. For used homes: HUF 2.75 million for a family with four children; HUF 2.2 million for a family with three children; HUF 1.43 million for a family with two; and HUF 600 thousand for a family with one child. Those, who have at least three children, will also be eligible for an additional HUF 10 million loan at a preferential interest rate of 3%.

Tax system

Family tax base allowances are extended from 2014: besides personal income tax, employees' pension contributions and health insurance contributions also serve as a basis of the allowance.

Employers' social security contributions – up to 100 000 HUF gross wage per month per employee – can be reduced by 100% in the first three years, and by 50% in the fourth and fifth year of employment of a parent who has three or more children, and who returned to the labour market while receiving child care benefit, or after the benefit has been ceased (before 2014, the reduction of the contribution was 100% in the first two years and 50% in the third year).

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Moreover, the tax reliefs for parents with small children have been widened under the Job Protection Act from 2015. In case of those employees, who are working part-time, from 2015 onwards, there will be no rule of proportion. This means that irrespective of the working time, the tax relief can be validated up until 100 thousand HUF gross monthly income, in case of the employment of parents with small children.

Personal income tax

From 2016 the personal income tax rate decreased from 16% to 15%. With the PIT rate change the family tax base allowance and the tax base allowance for first marriage have been updated.

Tax base allowance per month (in HUF)		
	2015	2016
per child in case of 1 child	62 500	66 670
per child in case of 2 children	62 500	83 330
per child in case of 3 or more children	206 250	220 000
tax base allowance for first marriage	31 250	33 335

According to a change newlywed (the wedding is after 31th December 2014) couples could be entitled to the family tax base allowance and the tax base allowance for first marriage at the same time in 2016. For 2015 they have to give in a new revised tax return to avail both tax base allowances.

Minimum wage

In 2016 the minimum wage was 111 000 HUF/months.

13.2 Future policy changes announced since 1st July 2016

Contributions

The amount of employer's contribution (social income tax, "szociális hozzájárulási adó") has been reduced to 22 % of gross earnings from 1 Jan 2017. The revenue from this tax paid to the central budget is divided between the Pension Insurance Fund (in 2017: 71,61%), the Health Insurance Fund (in 2017: 20,50%) and the National Employment Fund (in 2017: 7,89%).

Family tax allowance

Family tax allowance will be raised for families with two children: between 2016 and 2019 the amount will be doubled in four steps.

The newly married couples will be entitled for the tax base allowance for first marriage for a period of two years, even if they will have a child in this period.

Regular child protection allowance

From 1st January 2017 the benefit in kind (voucher) provided in the framework of regular child protection allowance increased (2 x 6 000 HUF, in case of disadvantaged or multiple disadvantaged children 2x 6 500

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HUF in 2017). The amount provided for the bearer who is a pensioner or entitled to old-age allowance remained the same, i. e. 2 x 8 400 HUF.

Child care fee Extra

As of 1st January 2017 the gross minimum wage increased to 127 500 HUF and the guaranteed wage minimum to 161 000 HUF, the amount of the child care fee has increased also. The maximum gross amount of the child care fee is 178 500 HUF and in case of the degree holder ("diplomás GYED") the maximum gross amount of the child care fee is 89 250 HUF.

Job-seeker benefit

According to the modification of Article 33 of December 14, 2016 of the Act IV of 1991 on Job Assistance and Unemployment Benefits, persons working in public employment shall be reimbursed for travel expenses, if using local public transportation, including the commute between his/her residence and the government employment agency or the employer, if the government employment agency offered a job for such person. The costs of local commute may be reimbursed by virtue of legislation if incurred for the reasons mentioned in the Act.

Benefits for people with changed working capacity

From 1st January 2017 the amounts of the invalidity and rehabilitation benefits increased by 1,6%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

Social assistance system:

The maximum amount of the benefit for people suffering from health problems or taking care of a child is connected to the public employment minimum wage (90% of the net public employment minimum wage). As from 1st January 2017 the gross public employment minimum wage amounts to 81 530 HUF. Consequently, the maximum amount of the benefit increased to 48 795 HUF (instead of 47 374 HUF in 2016).

Pensions and benefits prior to retirement age:

Former early retirement options were described in the legislation on Pensions (Act LXXXI of 1997), **BUT**

- eligibility to miner's pension (*bányásznyugdíj*) was described in a different Act; new Act describes the new benefit: **transitional annuity for miners**;
- eligibility criteria for old-age pension for artists was also described in a separate Act; new Act on **life annuity for ballet artists – from 1 Jan 2017 this is called annuity for dance artists and certain eligibility criteria has changed**;
- eligibility criteria for service pensions for professionals of armed forces (*szolgálati nyugdíj*) was also described in a separate Act. – Act describes in (Act CLXVII of 2011) **the eligibility to benefits of official members of armed forces**.

With the introduction (from 2012) Act CLXVII of 2011 *describes the eligibility to* benefits prior to retirement age AND the **benefits of official members of armed forces**, WHILE

- new Act: eligibility to **transitional annuity for miners** - is described in Act XLVIII of 1993 (on mining);

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- new Act: eligibility to the new benefit annuity for dance artists is described in Act XCIX of 2008 (on support of performing arts organisations and on their specific employment rules).

These latter two benefits are mostly related to activity related to Hungary (i.e. activity pursued either in a mine in the territory of Hungary or activity pursued in 8 Hungarian dance art organisations (before 2017 it was only 4 organisations delegated in the legislation). These benefits available before reaching the retirement age are not pensions, not financed from pension contributions. They are financed from the State Budget (from taxes) and are of social welfare benefit nature.

Childcare for pre-school children

Changes from 1st January 2017:

The conceptual transformation of the ECEC system aims at abolishing the regional inequalities and builds a new, multi-stage and multi-actor system. This new system would function in accordance with the parents' work schedule, and beyond the institutional framework provides familiar accommodation at a private home or at the workplace, small in numbers while responding to the local needs.

The new elements of the children's accommodation and the new forms of services are introduced from the 1st January 2017. The new daycare system is more flexible, differentiated and offers such institutional and service forms (nursery, mini-nursery, in-office nursery, family nursery and out-of-school care) which meet the demands and needs of families with small children, and remain operable and sustainable in long term. Due to the advantages of the new system and the new regulation, compared to the current system, the municipalities will have the opportunity to organize their responsibilities in a more flexible way.

1. Nursery (for children under the age of 3)

1.1. Nursery

This institutional, complex service can be established anywhere, the number of children is maximized in 12-14. In a nursery unit (1 or 2 groups) 2 early childhood educators and a nurse are required. The nurse's obligation is to complete a course. There will be no further fundamental changes in the current regulation. The central budget will provide the necessary resources for the functioning of the nurseries.

1.2. Mini-Nursery

The number of accommodated children is maximized in 7 per group. In order to provide the necessary service, employment of an early childhood educator and a nurse is required. A significant amount of development resources is available for the reorganization and the establishment of new institutions. The central budget will provide the necessary resources for the functioning.

In general in the nurseries and mini-nurseries families have to pay only for the daily meals, unless the maintainer of the nursery prescribes otherwise. Upon this scenario, the families have to pay for the daily meals and nursing too. However the families' expenditure is reduced by the extended free meal opportunity in nurseries which came into effect from 1 September 2015.

1.3. In-office nursery

In the in-office nursery the number of accommodated children is up to 7 per group. In order to provide the necessary service, employment of one person or an early childhood educator is required – according to the decision of the maintainer. If more than 5 children are accommodated another assistant is required, but the maintainer has the option to define the conditions of the employment (full-time, part-time or person receiving a social care remuneration). The working hours of the assistant should be determined with regard to the children's routine. The precondition for providing this service is the completion of a course. In one workplace more crèche groups can be created, if the defined conditions are fulfilled. The development resources in order to create and operate the in-office nursery will be available from the Economic Development and Innovation Operational Programme's budget. The central budget will provide the necessary resources for the functioning.

1.4. Family nursery

In the family nurseries up to 5 children can be accommodated. Based on the decision of the maintainer, employment of one person or an early childhood educator providing the service is required. The precondition for providing this service is the completion of a course. If more than 5 children are accommodated, another assistant is required, but the maintainer has the option to define the conditions of the employment. The family nursery can function as an independent supplier or it can operate in network-form of organization. The central budget will provide the necessary resources for the functioning of the family nurseries. The fee to be paid by the families covers the cost of the daily meals and nursing.

2. Out-of- school care

The out-of-school care provides market-based services. Basically, the daily childcare aims to provide accommodation for children above the age of 3, but it can accommodate children under the age of 3 as well. The service can be provided until the age of 14 or 16 in the case of children with special educational needs.

The service can be established at the provider's home, at the workplace or any other place suitable for the accommodation for children. In specific cases, the service can be provided at the parent's home. In the framework of daily childcare service, the maximum number of children accommodated is 7, and one person is required to provide the necessary service. The fee to be paid by the families covers the cost of the daily meals and nursing.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, benefits prior to retirement age, benefits for persons with changed working capacity disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

¹ See point 13.1.: From 1st January 2014 three forms of social assistances (temporary assistance, funeral assistance and irregular child protection support) merged, since all of these benefits have the same goal: to provide help to families who are in a crisis situation. The new benefit is called local assistance.